

Take health data, for example. At present, when applying for health insurance, individuals are often required to undergo fresh medical tests, even if they've recently completed similar tests at a certified pathology lab. If the AA system were extended to include health data and pathology labs and hospitals were integrated into the AA architecture, individuals could consent to share their existing digital health records directly with insurers.

CREDIT ON UPI

Building on top of the popular UPI system, the credit on UPI model allows customers to access credit seamlessly. Credit is extended based on UPI transaction history and other customer data, providing a low-cost alternative to credit cards. There is also ease of transactions as customers can make purchases by scanning QR codes, which are now available everywhere as against card POS machines.

UPI handles billions of transactions every month and is set to displace global networks like Mastercard, Visa, and American Express in terms of transaction volumes. Considering this, RBI introduced this innovative feature two years ago, enabling banks to offer small-ticket, presanctioned credit lines via UPI apps like GPay or PhonePe.

"It reduces the cost of credit delivery, thereby making credit more affordable to the low-income strata and remote areas, even for small-ticket loans," says Pandit of Federal Bank.

The biggest advantage is the acceptability of QR codes. Despite credit cards being available for more than three decades, their usage remains limited, with only 6-7% of the population using plastic. Under UPI, the banks are moving towards a fully digital process, significantly



"This (AA) is a progressive step to help customers gain control over their financial data and use it for accessing a variety of products including credit, insurance, investments for their own benefit"

SHAKTIKANTA DAS

GOVERNOR, RBI, AT THE GLOBAL FINTECH FESTIVAL IN 2023



"The AA system is like a tsunami building up in the financial services sector. With UPI, no one saw it coming until it hit. AA is the next tsunami, rising in the digital data movement of millions of Indian citizens"

TEJINDER PAL SINGH MANCHANDA

CEO, CAMSFINSERV

reducing acquisition, onboarding, and underwriting costs while ensuring real-time connectivity for customers.

But challenges remain. Why have dozens of AAs if the job can be done by establishing a consent management corporation similar to NPCI for payments? People have concerns about granting consent to privately operated entities operating as AAs. Similarly, extending credit to the unbanked and underbanked is not easy. Small-ticket loans have traditionally been seen as risky. Underwriting in smaller geographies

or for certain sets of customers without a stable income remains a challenge due to the lack of credit data. "It's crucial to ensure responsible lending practices by financial institutions to prevent overindebtedness, protect sensitive financial data, and maintain user trust," says a banker.

While these innovations promise significant benefits, they also present challenges, especially in terms of data privacy and cybersecurity risks. **BT**

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